

EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

HOLD
Composite · Valuation: HOLD
Blended Target: \$1235.76
Implied upside: +2.3%

Healthcare · Drug Manufacturers - General
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$1208.12

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$1235.76 (+2.3% vs \$1208.12); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

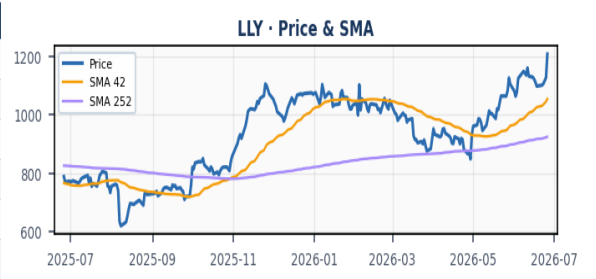
Composite: HOLD (score +0.22, confluence 50%) · TA: BULLISH · Quant: POSITIVE · FSA: Stable. Mixed signals across pillars.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **HOLD** rating; blended target \$1235.76. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & PRICE TREND

Item	Value	Item	Value
Market Cap	\$1.08T	Shares Out.	891.7M
52-Week Range	\$623.78 – \$1215.76	P/E (TTM)	42.9x
P/B	34.6x	Beta	0.52
Avg Volume	3.29M	Analyst Rec.	Buy
Revenue (TTM)	\$72.25B	Rev Growth	+55.5%
Op. Margin	49.4%	FCF (TTM)	\$5.96B



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	45,043	65,179	101,353	141,489	181,771
Revenue Growth (%)	N/A	44.7%	55.5%	39.6%	28.5%
Net Income (\$M)	10,590	20,640	32,095	44,805	57,561
Net Income Growth (%)	N/A	94.9%	55.5%	39.6%	28.5%
Gross Margin (%)	81.3%	83.0%	82.8%	82.8%	82.8%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
ROE (%)	74.2%	77.8%	121.0%	153.2%	187.4%
EPS (\$)	11.88	23.15	35.99	50.24	64.55
Book Value / Share (\$)	16.00	29.76	29.76	32.81	34.45
P/E (x)	101.73	52.20	33.57	24.04	18.72
P/B (x)	75.49	40.60	40.60	36.83	35.07
Dividend Yield (%)	57.0%	57.0%	57.0%	57.0%	57.0%

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Stable (score -0.05). Strengths: Revenue CAGR 31.7% (3Y); Current ratio 1.58x. Risks: Operating margin deteriorating; Weak ROE 1.1%; Low FCF vs net income. 3Y projection: ~25.0% revenue growth; Y3 revenue \$141.11B.

Metric	Value	Assessment
FSA Health Score	-0.05	Stable
Revenue CAGR (3Y)	31.7%	
Net Income CAGR (3Y)	49.0%	
Gross Margin Trend	Deteriorating	
Operating Margin Trend	Deteriorating	
Current Ratio	1.58x	Liquidity
Debt / Equity	139%	Leverage
ROE	1.1%	Profitability
FCF / Net Income	0.29x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$90.31B / \$141.11B	@25.0%
Proj. Net Income (Y1 / Y3)	\$35.23B / \$55.05B	Margin × (1–tax)

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$1054.72	Short-term trend	12m Momentum	+53.0%	
SMA (252d)	\$925.31	Long-term trend	3m Momentum	+37.8%	
RSI (14d)	66.9	Momentum oscillator	Ann. Volatility	32.4%	
Trend	Bullish		Sharpe Ratio	1.14	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.5%	
Death Cross (20d)	No		Rel. Strength vs SPY	+372.5%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$1054.72, SMA252=\$925.31	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	30.1%	B&H; 40.0%

INDUSTRY CONTEXT

Industry Snapshot — Healthcare / Drug Manufacturers - General. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and internationally. The company offers cardiometabolic health products, including Basaglar, Humalog, Humalog Mix 75/25, Humalog U-100, Humalog U-200, Humalog Mix 50/50,...
Trends: Strong top-line growth (55.5% YoY); High operating leverage (49.4% margin); Defensive profile (β=0.52)
Risks: Elevated leverage (D/E: 139%); Premium valuation (P/E: 42.9x)

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$246.56	-79.6%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median, trailing EPS)	\$925.44	-23.4%	—	Peer median P/E 32.9x
Comps — P/E (peer median, forward EPS)	\$1462.20	+21.0%	—	Forward EPS × peer median P/E
Comps — 52-week range anchor	\$1015.89	-15.9%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$481.62	-60.1%	—	Peer median 14.7x
Comps — P/S (peer median)	\$453.44	-62.5%	—	Peer median P/S 5.6x
Comps — Blended (median of multiples + uplift anchors)	\$1239.04	+2.6%	80%	Included in blend
Analyst consensus (Yahoo Finance)	\$1222.62	+1.2%	20%	Included in blend
Blended target (weighted)	\$1235.76	+2.3%	100%	Comps 80% + Analyst 20%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	1.50%
FCFE growth	19.43%
Base FCFE	\$5.96B
PV explicit (5Y)	\$42.86B
PV terminal	\$177.01B
Equity value (adj.)	\$219.87B
Implied price	\$246.56
vs. current	-79.6%

INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview
Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and internationally. The company offers cardiometabolic health products, including Basaglar, Humalog, Humalog Mix 75/25, Humalog...

- Key Trends**
- Strong top-line growth (55.5% YoY)
 - High operating leverage (49.4% margin)
 - Defensive profile (β=0.52)
 - Sector: Healthcare | Industry: Drug Manufacturers - General

- Risk Factors**
- Elevated leverage (D/E: 139%)
 - Premium valuation (P/E: 42.9x)

PEER COMPARISON

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	\$317.77B	36.2x	12.2x	13.6%	+4.9%
ABBV	AbbVie Inc.	\$447.62B	123.6x	17.1x	5.8%	+12.4%
PFE	Pfizer, Inc.	\$138.44B	18.5x	7.5x	11.8%	+5.4%
JNJ	Johnson & Johnson	\$613.02B	29.5x	18.8x	21.8%	+9.9%
LLY*	Eli Lilly and Company	\$1.08T	42.9x	30.8x	35.0%	+55.5%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.